

DCF Model Pre-Flight Checklist

2026 Edition

12 inputs to verify before presenting your valuation

How to use this checklist: Run it before every client presentation, investment committee, or board deck. A valuation that fails under questioning usually fails here — at the source layer, not the math layer. Every item maps directly to an input cell in the Institutional-Grade DCF Model.

1 WACC INPUTS

☐	Risk-free rate pulled from current 10-year Treasury yield Source: U.S. Treasury or FRED (FRED code: DGS10). Do not use a textbook default. Rate changes daily — pull it the day you present.	SOURCE
☐	Equity risk premium from Damodaran's current annual estimates Source: pages.stern.nyu.edu/~adamodar — use the implied ERP for the current year. Using a historical average (e.g. "6%") without sourcing it is a red flag.	SOURCE
☐	Beta is levered, company-specific (not the industry average) Source: Yahoo Finance, Bloomberg, or company's latest 10-K. Confirm it's a 5-year monthly or 2-year weekly — note which convention you used.	SOURCE
☐	Cost of debt is after-tax (pre-tax rate $\times$ (1 – tax rate)) Source: interest expense $\div$ average debt balance from 10-K. Do not use credit rating proxies unless you document the spread assumption.	FORMULA

2 PROJECTION ASSUMPTIONS

☐	Revenue growth rate benchmarked against analyst consensus Source: FactSet, Visible Alpha, or SEC filings forward guidance. Growth assumptions more than 2 $\times$ the consensus range require a written rationale.	SOURCE
☐	Operating margin trajectory has a documented rationale Expansion, compression, or flat — each needs a reason: operating leverage, competitive pressure, mix shift. "Same as last year" is not a rationale.	NARRATIVE
☐	CapEx as % of revenue tracked against 3-year historical trend Source: cash flow statement. Sudden CapEx reduction in Year 3+ inflates FCF — flag this if it appears without an explanation (asset-light transition, maintenance-only phase).	FLAG RISK
☐	Working capital changes explicitly modeled — not zeroed out	FLAG RISK

Source: balance sheet year-over-year deltas for AR, AP, inventory. Zero is only correct if the business has no meaningful working capital cycle — document it if so.

3 TERMINAL VALUE

- ☐ **Terminal growth rate is at or below long-run GDP growth ($\leq 3.0\%$)** **FLAG RISK**
A company cannot grow faster than the economy forever. Rates above 3% require explicit justification — e.g., the company captures an expanding global market share at perpetuity.
- ☐ **Gordon Growth vs Exit Multiple divergence is below 15%** **AUTO-FLAG**
The model flags this automatically. If the two methods diverge by more than 15%, reconcile before presenting — do not average them without explanation.
- ☐ **Terminal value as % of total enterprise value is below 75%** **FLAG RISK**
If TV exceeds 75% of EV, your valuation is almost entirely a terminal value guess. Re-examine the discount rate and growth rate — or be explicit about this in your narrative.

4 FINAL CHECKS BEFORE PRESENTING

- ☐ **All amber input cells are populated — no example defaults remain** **REQUIRED**
The model ships pre-loaded with Microsoft FY2025 data. Every amber cell must be replaced with your company's data before presenting. Run a Ctrl+F for "MSFT" to confirm.
- ☐ **Sensitivity table reviewed at $\pm 1\%$ WACC and $\pm 0.5\%$ terminal growth** **REQUIRED**
Know your model's range before someone in the room asks. A $\pm 1\%$ WACC swing on a large-cap typically moves implied price by \$50–\$100. If that range embarrasses your thesis, revisit the inputs.
- ☐ **Investment disclaimer is included in any client or board deliverable** **REQUIRED**
The CFO Narrative Template includes standard disclaimer language. Do not omit it. A DCF is a framework for structured thinking — it is not investment advice and should not be presented as such.

PRESENTATION READINESS SCORE

_____ / 12 ITEMS CHECKED

12 / 12

Present with confidence. Every input is sourced and every risk is documented.

9 – 11 / 12

Revisit open items. Know which ones you're carrying and be ready to answer them live.

< 9 / 12

Do not present yet. The model has open assumptions that will surface under scrutiny.

